PARTNERS OF THE AMERICAS, INC. TAX SHELTERED ANNUITY PLAN
ERISA 404 Retirement Plan and Investment Information

11/09/2013 Contract/Plan ID Number 5-15266

This document uses these defined words and phrases:

Plan means **PARTNERS OF THE AMERICAS, INC. TAX SHELTERED ANNUITY PLAN.**

Plan Fiduciary means the individual(s) holding authority over the operation and administration of the Plan and its retirement funds. The Plan Sponsor is typically the Plan Fiduciary. Contact the Plan Administrator for further details.

Plan Sponsor means **PARTNERS OF THE AMERICAS, INC.**

You means the Plan participant or beneficiary.

Plan Administrator is a Plan Fiduciary that has authority over operation and administration of the Plan. You should contact the Plan Administrator if you have any questions about the investment options under the Plan or if you would like paper copies of additional investment information that is available online at principal.com.

The Plan Administrator is:

PARTNERS OF THE AMERICAS, INC.
1424 K ST NW STE 700
WASHINGTON, DC 20005-2410
202-637-6216

Information about ERISA Section 404(c)

The Employee Retirement Income Security Act (ERISA) provides rules about the investment of retirement funds. The Plan Sponsor chose to qualify the Plan as an ERISA 404(c) plan and intends to comply with ERISA Section 404(c) requirements by providing information for you to make informed investment decisions and by letting you:

- Direct the investment of individual retirement accounts
- Choose from at least three diverse investment options
- Change investment choices at least quarterly

This means the Plan Fiduciary should not be liable for any investment losses that result from a participant's investment control.

How does this affect you?

The Plan Fiduciary makes certain investment options available under the Plan. You decide which of those options works best for you according to your age and circumstances. This means that you are responsible for directing the investment in the account the Plan holds for your benefit (your account).

Directing or Transferring Between Investment Options

You can direct or transfer retirement funds between the different investment options at least quarterly. The Plan may allow for more frequent transfers. To transfer retirement funds, you can call the automated phone system of the Principal Financial Group® at 1-800-547-7754 or log in to your account at principal.com.

A description of the exercise of voting, tender and similar rights for an investment alternative and any restrictions on these rights is located in the relevant plan document or trustee powers section of the trust agreement. Contact the Plan Administrator to obtain the plan document or the trust agreement, if applicable.

Fees and Expenses

An annual Plan administrative expense of 0.03 percent applies to each participant's account balance. One twelfth of this annual amount will be charged on a monthly basis. The dollar amount of the expense can be found by logging in to the secure website at principal.com and on participant statements. Plan administrative expenses typically include items such as recordkeeping, participant website access, participant statements, Plan compliance services and financial professional services.**

From time to time, Plan expenses may be incurred in the course of normal Plan operation for Plan services such as legal, auditing, third-party administration, consulting, investment advice to the Plan, etc. If allowed by the Plan document, the Plan Fiduciary may direct that these expenses be paid by the Plan. The Plan Fiduciary determines how these expenses are allocated among participants at the time the expenses are paid. These expenses are typically allocated based on participant account balance but may be allocated by dividing the total expense to be deducted by the total number of participants in the Plan. If such expenses are charged to participant accounts, the dollar amount of such expenses will be disclosed on the secure principal.com website and on participant statements (if applicable) for the quarter in which they are paid.

The following participant-level services have additional fees. These participant transaction fees will be charged to your account balance for the services you elect to use. Participant transaction fees for the Plan include:

- Distribution fee: $40.00
- Distribution In-kind fee: $40.00
- Distribution Installment fee for new installment elections: $10.00 per quarter
- Loan Maintenance fee for new loans: $12.00 per quarter
- Loan Setup fee: $50.00
- Personal Retirement Account fee for new Personal Retirement Accounts: $6.25 per quarter **
- Qualified Domestic Relations Order processing fee: $350.00 for each Domestic Relations Order processed. The fee is divided equally between the participant and the alternate payee involved unless specified differently within the Domestic Relations Order or the Plan's Administrative Procedures.

Please see the Investment Option Summary for fees and expenses that may be charged against your account based on investment-level transactions.

** The Personal Retirement Account fee is in lieu of the annual plan administrative expense noted above and applies to terminated participants with an account balance.

The Plan Administrator can provide the following additional information in paper form, without charge and upon request:

- Copies of prospectuses (or any short-form or summary prospectuses) for the investment options
- Copies of any financial statements or reports, such as statements of additional information and shareholder reports, and of any other similar materials relating to the Plan's designated investment options
- A statement of the value of a share or unit of each designated investment option and the date of the valuation
- A list of the assets comprising the portfolio of each investment option which constitute Plan assets and the value of each asset (or the proportion of the investment which it comprises)
- The following information about each investment option (including fixed-return investment options) available under the Plan: issuer name, investment objective, principal strategies and risks, turnover rate, performance, and fee and expense information
- To the extent a group annuity contract under the Plan permits you to select an annuity guaranteed by an insurance company, a statement that the guarantee provided by the insurance company is subject to its long-term financial strength and claims-paying ability

To help you make informed investment choices and for more information about the investment options available to you, including investment objectives, performance and fees, please review the enclosed materials or visit principal.com.

Contract/Plan ID Number 5-15266

Investment Option Summary As of 09/30/2013

This document provides important information to help you compare the investment options available to you under the retirement plan.

Investment results shown represent historical performance and do not guarantee future results. Investment returns and principal values fluctuate with changes in interest rates and other market conditions so the value, when redeemed, may be worth more or less than original costs. Current performance may be lower or higher than the performance data shown. For additional information on the investment options, including most recent month-end performance, log in to the Principal Financial Group® website at principal.com or call our automated phone system at 1-800-547-7754.

Additional information available online includes, if applicable, the name of the investment option's issuer; the investment option's objectives or goals; the investment option's principal strategies, including a general description of the types of assets held by the investment option; the portfolio turnover rate; and the investment option's performance data and fee and expense information.

In situations where the net and gross total investment expense figures are different, the mutual fund or the underlying fund in which a Separate Account invests has waived/capped a portion of its management fees through the date displayed in the waiver expiration date or contractual cap expiration date column. Differences may also be shown due to the fund family choosing to pay certain expenses that would normally be payable by the fund. Returns displayed are based on total investment expense net.

Fees and expenses are only one of several factors that participants and beneficiaries should consider when making investment decisions. Some or all of the Plan administrative expenses are paid from the total investment expense of one or more of the Plan's investment options. The cumulative effect of fees and expenses can substantially reduce the growth of a participant's or beneficiary's retirement account. Participants and beneficiaries can visit the Employee Benefit Security Administration's website for an example demonstrating the long-term effect of fees and expenses.

For a glossary of terms to assist you in understanding the designated investment options, log in to your account at principal.com.

Asset Class: Fixed Income

This asset class is generally composed of investment options that invest in bonds, or debt of a company or government entity (including U.S. and Non- U.S.). It may also include real estate investment options that directly own property. These investment options typically carry more risk than short-term fixed income investment options (including, for real estate investment options, liquidity risk), but less overall risk than equities. All investment options in this category have the potential to lose value.

Investment Category: Intermediate-Term Bond

Inv Manager or Sub-Advisor : Principal Global Investors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Bond & Mortgage Securities R2 Fund[B,14,16,28]	-2.26	-1.47	3.32	6.36	3.37	4.11	6.62	4.81	3.91	4.57	12/2000
Benchmark: Barclays Aggregate Bond Index	-1.89	-1.68	2.86	5.41	4.59	-	4.21	5.95	5.18	-	-

Description: The investment seeks to provide current income. The fund invests at least 80% of its net assets, plus any borrowings for investment purposes, in intermediate maturity fixed-income or debt securities rated BBB- or higher by "S&P" or Baa3 or higher by "Moody's" at the time of purchase, including securities issued or guaranteed by the U.S. government or its agencies or instrumentalities; asset-backed securities or mortgage-backed securities representing an interest in a pool of mortgage loans or other assets; debt securities and taxable municipal bonds; and debt securities issued or guaranteed by foreign governments payable in U.S. dollars.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	4.41	Non-U.S. Bonds	6.35	Total Inv Exp Net %	1.28	-
Preferred	0.78	U.S. Bonds	88.32	Contractual Cap Expiration Date	N/A	
Other	0.15			Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.28	
				Total Inv Exp Gross Per $1,000 Invested	$12.80	
				Redemption Fee	-	

Asset Class: Fixed Income

This asset class is generally composed of investment options that invest in bonds, or debt of a company or government entity (including U.S. and Non- U.S.). It may also include real estate investment options that directly own property. These investment options typically carry more risk than short-term fixed income investment options (including, for real estate investment options, liquidity risk), but less overall risk than equities. All investment options in this category have the potential to lose value.

Investment Category: Corporate Bond

Inv Manager or Sub-Advisor : PIMCO

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
PIMCO Investment Grade Corporate Bond C Fund [14,16,27]	-3.15	-1.23	4.68	10.08	5.93	6.29	13.70	9.42	7.05	7.27	7/2004
Benchmark: Barclays US Corporate Investment Grade Index	-2.62	-1.58	4.40	9.24	5.27	-	9.82	7.87	6.33	-	-

Description: The investment seeks maximum total return, consistent with preservation of capital and prudent investment management. The fund normally invests at least 80% of its assets in a diversified portfolio of investment grade corporate fixed income securities of varying maturities, which may be represented by forwards or derivatives such as options, futures contracts or swap agreements. It invests primarily in investment grade debt securities, but may invest up to 15% of its total assets in high yield securities ("junk bonds") rated B or higher by Moody's, or equivalently rated by S&P or Fitch, or, if unrated, determined by PIMCO to be of comparable quality.

Composition (% of Assets) as of 06/30/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	-53.87	Non-U.S. Bonds	82.04	Total Inv Exp Net %	1.65	-
Preferred	0.47	U.S. Bonds	64.98	Contractual Cap Expiration Date	N/A	
Other	6.38			Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.65	
				Total Inv Exp Gross Per $1,000 Invested	$16.50	
				Redemption Fee	-	

Asset Class: Balanced/Asset Allocation

This asset class is generally composed of a combination of fixed income and equity investment options. These investment options may include balanced, asset allocation, target-date, and target-risk investment options. Although typically lower risk than investment options that invest solely in equities, all investment options in this category have the potential to lose value.

Investment Category: Retirement Income

Inv Manager or Sub-Advisor : Multiple Sub-Advisors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Principal LifeTime Strategic Income R2 Fund [12,16,24,25,29,F]	2.29	3.25	5.26	5.61	4.19	3.88	8.71	2.27	4.81	3.93	3/2001
Benchmark: Principal LifeTime Strategic Income Blended Index	3.31	3.91	5.94	6.84	6.01	-	7.05	5.03	6.67	-	-
Benchmark: Morningstar Lifetime Moderate Income Index	4.05	4.44	7.05	6.78	6.72	-	8.78	4.68	7.34	-	-

Description: The investment seeks current income, and as a secondary objective, capital appreciation. The fund invests in underlying Principal Funds, Inc. ("PFI") domestic and foreign equity, real asset and alternative investments, and fixed-income funds according to an asset allocation strategy designed for investors primarily seeking current income and secondarily capital appreciation. Its asset allocation is designed for investors who are approximately 15 years beyond the normal retirement age of 65. The fund invests in PFI Institutional Class shares of underlying funds.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	25.66	U.S. Stocks	17.50	Total Inv Exp Net %	1.38	1/30 day period
Non-U.S. Stocks	8.75	Non-U.S. Bonds	-11.67	Contractual Cap Expiration Date	N/A	
Convertibles	0.11	Preferred	0.77	Waiver Expiration Date	N/A	
U.S. Bonds	58.16	Other	0.73	Total Inv Exp Gross %	1.38	
				Total Inv Exp Gross Per $1,000 Invested	$13.80	
				Redemption Fee	-	

Asset Class: Balanced/Asset Allocation

This asset class is generally composed of a combination of fixed income and equity investment options. These investment options may include balanced, asset allocation, target-date, and target-risk investment options. Although typically lower risk than investment options that invest solely in equities, all investment options in this category have the potential to lose value.

Investment Category: Target Date 2000-2010

Inv Manager or Sub-Advisor : Multiple Sub-Advisors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Principal LifeTime 2010 R2 Fund [12,16,24,25,29,F]	6.01	7.45	7.60	6.76	5.02	4.36	11.17	1.61	5.43	4.13	3/2001
Benchmark: Principal LifeTime 2010 Blended Index	7.15	8.18	8.64	7.61	6.11	-	9.41	3.39	6.51	-	-
Benchmark: Morningstar Lifetime Moderate 2010 Index	5.53	6.19	8.28	7.86	7.76	-	10.61	4.54	8.56	-	-

Description: The investment seeks a total return consisting of long-term growth of capital and current income. The fund operates as a "target date fund." It invests in underlying Principal Funds, Inc. ("PFI") domestic and foreign equity, real asset and alternative investments, and fixed-income funds according to an asset allocation strategy designed for investors having a retirement investment goal close to the year in the fund's name. The fund invests in PFI Institutional Class shares of underlying funds. Within 10 to 15 years after its target year, the fund's underlying fund allocation is expected to match that of the Principal LifeTime Strategic Income Fund.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	20.71	U.S. Stocks	29.97	Total Inv Exp Net %	1.41	1/30 day period
Non-U.S. Stocks	14.36	Non-U.S. Bonds	-10.03	Contractual Cap Expiration Date	N/A	
Convertibles	0.11	Preferred	0.63	Waiver Expiration Date	N/A	
U.S. Bonds	43.35	Other	0.91	Total Inv Exp Gross %	1.41	
				Total Inv Exp Gross Per $1,000 Invested	$14.10	
				Redemption Fee	-	

Investment Category: Target Date 2016-2020

Inv Manager or Sub-Advisor : Multiple Sub-Advisors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Principal LifeTime 2020 R2 Fund [12,16,24,25,29,F]	9.24	11.07	9.27	7.48	5.85	4.88	13.84	1.17	6.08	4.41	3/2001
Benchmark: Principal LifeTime 2020 Blended Index	11.66	13.15	10.52	8.29	6.68	-	12.87	2.46	6.77	-	-
Benchmark: Morningstar Lifetime Moderate 2020 Index	8.36	9.47	9.86	8.57	8.60	-	12.53	3.62	9.41	-	-

Description: The investment seeks a total return consisting of long-term growth of capital and current income. The fund operates as a "target date fund." It invests in underlying Principal Funds, Inc. ("PFI") domestic and foreign equity, real asset and alternative investments, and fixed-income funds according to an asset allocation strategy designed for investors having a retirement investment goal close to the year in the fund's name. The fund invests in PFI Institutional Class shares of underlying funds. Within 10 to 15 years after its target year, the fund's underlying fund allocation is expected to match that of the Principal LifeTime Strategic Income Fund.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	16.12	U.S. Stocks	42.93	Total Inv Exp Net %	1.46	1/30 day period
Non-U.S. Stocks	20.90	Non-U.S. Bonds	-9.39	Contractual Cap Expiration Date	N/A	
Convertibles	0.09	Preferred	0.42	Waiver Expiration Date	N/A	
U.S. Bonds	28.00	Other	0.93	Total Inv Exp Gross %	1.46	
				Total Inv Exp Gross Per $1,000 Invested	$14.60	
				Redemption Fee	-	

Asset Class: Balanced/Asset Allocation

This asset class is generally composed of a combination of fixed income and equity investment options. These investment options may include balanced, asset allocation, target-date, and target-risk investment options. Although typically lower risk than investment options that invest solely in equities, all investment options in this category have the potential to lose value.

Investment Category: Target Date 2026-2030

Inv Manager or Sub-Advisor : Multiple Sub-Advisors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Principal LifeTime 2030 R2 Fund [12,16,24,25,29,F]	11.40	13.40	10.21	7.76	6.20	4.83	14.74	0.65	6.27	4.19	3/2001
Benchmark: Principal LifeTime 2030 Blended Index	14.56	16.34	11.86	8.76	6.99	-	13.85	1.87	6.90	-	-
Benchmark: Morningstar Lifetime Moderate 2030 Index	12.81	14.62	11.74	9.21	9.12	-	14.68	2.46	9.67	-	-

Description: The investment seeks a total return consisting of long-term growth of capital and current income. The fund operates as a "target date fund." It invests in underlying Principal Funds, Inc. ("PFI") domestic and foreign equity, real asset and alternative investments, and fixed-income funds according to an asset allocation strategy designed for investors having a retirement investment goal close to the year in the fund's name. The fund invests in PFI Institutional Class shares of underlying funds. Within 10 to 15 years after its target year, the fund's underlying fund allocation is expected to match that of the Principal LifeTime Strategic Income Fund.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	10.36	U.S. Stocks	49.91	Total Inv Exp Net %	1.50	1/30 day period
Non-U.S. Stocks	25.00	Non-U.S. Bonds	-5.62	Contractual Cap Expiration Date	N/A	
Convertibles	0.10	Preferred	1.43	Waiver Expiration Date	N/A	
U.S. Bonds	17.78	Other	1.04	Total Inv Exp Gross %	1.50	
				Total Inv Exp Gross Per $1,000 Invested	$15.00	
				Redemption Fee	-	

Investment Category: Target Date 2036-2040

Inv Manager or Sub-Advisor : Multiple Sub-Advisors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Principal LifeTime 2040 R2 Fund [12,16,24,25,29,F]	13.37	15.67	11.09	7.88	6.39	4.91	15.75	0.15	6.29	4.12	3/2001
Benchmark: Principal LifeTime 2040 Blended Index	16.92	19.03	12.86	9.09	7.28	-	14.78	1.38	7.07	-	-
Benchmark: Morningstar Lifetime Moderate 2040 Index	15.02	17.38	12.42	9.55	9.39	-	15.71	2.07	9.79	-	-

Description: The investment seeks a total return consisting of long-term growth of capital and current income. The fund operates as a "target date fund." It invests in underlying Principal Funds, Inc. ("PFI") domestic and foreign equity, real asset and alternative investments, and fixed-income funds according to an asset allocation strategy designed for investors having a retirement investment goal close to the year in the fund's name. The fund invests in PFI Institutional Class shares of underlying funds. Within 10 to 15 years after its target year, the fund's underlying fund allocation is expected to match that of the Principal LifeTime Strategic Income Fund.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	6.03	U.S. Stocks	55.77	Total Inv Exp Net %	1.52	1/30 day period
Non-U.S. Stocks	29.14	Non-U.S. Bonds	-2.79	Contractual Cap Expiration Date	N/A	
Convertibles	0.09	Preferred	1.16	Waiver Expiration Date	N/A	
U.S. Bonds	9.37	Other	1.23	Total Inv Exp Gross %	1.52	
				Total Inv Exp Gross Per $1,000 Invested	$15.20	
				Redemption Fee	-	

Asset Class: Balanced/Asset Allocation

This asset class is generally composed of a combination of fixed income and equity investment options. These investment options may include balanced, asset allocation, target-date, and target-risk investment options. Although typically lower risk than investment options that invest solely in equities, all investment options in this category have the potential to lose value.

Investment Category: Target Date 2046-2050

Inv Manager or Sub-Advisor : Multiple Sub-Advisors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Principal LifeTime 2050 R2 Fund [12,16,24,25,29,F]	14.33	16.90	11.56	7.95	6.60	4.60	16.56	-0.07	6.46	3.71	3/2001
Benchmark: Principal LifeTime 2050 Blended Index	18.25	20.58	13.36	9.25	7.60	-	15.49	1.10	7.37	-	-
Benchmark: Morningstar Lifetime Moderate 2050 Index	14.88	17.51	12.20	9.55	9.51	-	15.94	1.96	9.96	-	-

Description: The investment seeks a total return consisting of long-term growth of capital and current income. The fund operates as a "target date fund." It invests in underlying Principal Funds, Inc. ("PFI") domestic and foreign equity, real asset and alternative investments, and fixed-income funds according to an asset allocation strategy designed for investors having a retirement investment goal close to the year in the fund's name. The fund invests in PFI Institutional Class shares of underlying funds. Within 10 to 15 years after its target year, the fund's underlying fund allocation is expected to match that of the Principal LifeTime Strategic Income Fund.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	3.31	U.S. Stocks	58.95	Total Inv Exp Net %	1.53	1/30 day period
Non-U.S. Stocks	31.11	Non-U.S. Bonds	-1.31	Contractual Cap Expiration Date	N/A	
Convertibles	0.07	Preferred	1.43	Waiver Expiration Date	N/A	
U.S. Bonds	5.11	Other	1.33	Total Inv Exp Gross %	1.53	
				Total Inv Exp Gross Per $1,000 Invested	$15.30	
				Redemption Fee	-	

Investment Category: Target Date 2051+

Inv Manager or Sub-Advisor : Multiple Sub-Advisors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Principal LifeTime 2060 R2 Fund [B,F]	-	-	-	-	-	10.30	-	-	-	-	3/2013
Benchmark: Principal LifeTime 2060 Blended Index	-	-	-	-	-	-	-	-	-	-	-
Benchmark: Morningstar Lifetime Moderate 2050 Index	14.88	17.51	12.20	9.55	9.51	-	15.94	1.96	9.96	-	-

Description: The investment seeks a total return consisting of long-term growth of capital and current income. The fund operates as a "target date fund." It invests in underlying Principal Funds, Inc. ("PFI") domestic and foreign equity, real asset and alternative investments, and fixed-income funds according to an asset allocation strategy designed for investors having a retirement investment goal close to the year in the fund's name. The fund invests in PFI Institutional Class shares of underlying funds. Within 10 to 15 years after its target year, the fund's underlying fund allocation is expected to match that of the Principal LifeTime Strategic Income Fund.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	-2.08	U.S. Stocks	62.12	Total Inv Exp Net %	1.58	1/30 day period
Non-U.S. Stocks	33.64	Non-U.S. Bonds	-1.57	Contractual Cap Expiration Date	02/28/2014	
Convertibles	0.08	Preferred	1.38	Waiver Expiration Date	02/28/2014	
U.S. Bonds	5.02	Other	1.40	Total Inv Exp Gross %	1.72	
				Total Inv Exp Gross Per $1,000 Invested	$17.20	
				Redemption Fee	-	

Asset Class: Large U.S. Equity

This asset class is generally composed of investment options that invest in stocks, or shares of ownership in large, well-established, U.S. companies. These investment options typically carry more risk than fixed income investment options but have the potential for higher returns over longer time periods. They may be an appropriate choice for long-term investors who are seeking the potential for growth. All investment options in this category have the potential to lose value.

Investment Category: Large Value

Inv Manager or Sub-Advisor : American Century Inv. Mgmt.

Investment Option Name	Average Annual Total Return										
American Century Equity Income A Fund [7]	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
	13.12	12.90	11.71	7.82	7.33	8.74	11.23	3.00	7.15	8.32	3/1997
Benchmark: Russell 1000 Value Index	20.47	22.30	16.25	8.86	7.99	-	17.51	0.59	7.38	-	-

Description: The investment seeks current income; capital appreciation is a secondary objective. The fund invests in equity securities of companies with a favorable income-paying history that have prospects for income payments to continue or increase. The portfolio managers also look for equity securities of companies that they believe are undervalued and have the potential for an increase in price. The fund may invest a portion of its assets in foreign securities when these securities meet the portfolio managers' standards of selection.

Composition (% of Assets) as of 06/30/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	0.35	U.S. Stocks	70.01	Total Inv Exp Net %	1.19	-
Non-U.S. Stocks	3.53	Convertibles	12.03	Contractual Cap Expiration Date	N/A	
Preferred	12.50	U.S. Bonds	0.96	Waiver Expiration Date	N/A	
Other	0.62			Total Inv Exp Gross %	1.19	
				Total Inv Exp Gross Per $1,000 Invested	$11.90	
				Redemption Fee	-	

Inv Manager or Sub-Advisor : Edge Asset Management, Inc.

Investment Option Name	Average Annual Total Return										
Equity Income R2 Fund [B,9,F]	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
	16.06	16.38	13.40	8.57	8.07	8.44	12.11	1.22	8.01	8.31	3/2010
Benchmark: Russell 1000 Value Index	20.47	22.30	16.25	8.86	7.99	-	17.51	0.59	7.38	-	-

Description: The investment seeks to provide a relatively high level of current income and long-term growth of income and capital. The fund normally invests at least 80% of its net assets, plus any borrowings for investment purposes, in dividend-paying equity securities. It usually invests in equity securities of companies with large market capitalizations, but also invests in equity securities of companies with medium market capitalizations. The fund invests in value equity securities, an investment strategy that emphasizes buying equity securities that appear to be undervalued. It also invests in real estate investment trusts and securities of foreign issuers.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	0.32	U.S. Stocks	78.88	Total Inv Exp Net %	1.26	1/30 day period
Non-U.S. Stocks	18.71	Other	2.08	Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.26	
				Total Inv Exp Gross Per $1,000 Invested	$12.60	
				Redemption Fee	-	

Investment Category: Large Blend

Inv Manager or Sub-Advisor : Principal Global Investors

Investment Option Name	Average Annual Total Return										
LargeCap S&P 500 Index R2 Fund [B,2,5,28,F]	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
	18.94	18.18	15.17	9.02	6.58	2.75	14.87	0.75	6.10	1.46	12/2000
Benchmark: Standard & Poor's 500 Index	19.79	19.34	16.27	10.02	7.57	-	16.00	1.66	7.10	-	-

Description: The investment seeks long-term growth of capital. The fund normally invests at least 80% of its net assets, plus any borrowings for investment purposes, in equity securities of companies that compose the S&P 500 Index at the time of purchase. The index is designed to represent U.S. equities with risk/return characteristics of the large cap universe. It invests in index futures and options and exchange-traded funds ("ETFs") on a daily basis to gain exposure to the index in an effort to minimize tracking error relative to the benchmark.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	0.17	U.S. Stocks	94.95	Total Inv Exp Net %	0.91	1/30 day period
Non-U.S. Stocks	4.87			Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	0.91	
				Total Inv Exp Gross Per $1,000 Invested	$9.10	
				Redemption Fee	-	

Asset Class: Large U.S. Equity

This asset class is generally composed of investment options that invest in stocks, or shares of ownership in large, well-established, U.S. companies. These investment options typically carry more risk than fixed income investment options but have the potential for higher returns over longer time periods. They may be an appropriate choice for long-term investors who are seeking the potential for growth. All investment options in this category have the potential to lose value.

Investment Category: Large Growth

Inv Manager or Sub-Advisor : MFS Investment Management

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
MFS Growth R2 Fund [27]	22.81	22.52	17.04	12.00	9.18	8.60	16.82	2.76	8.93	6.91	10/2003
Benchmark: Russell 1000 Growth Index	20.87	19.27	16.94	12.07	7.82	-	15.26	3.12	7.52	-	-

Description: The investment seeks capital appreciation. The fund normally invests in equity securities. Equity securities include common stocks, preferred stocks, securities convertible into stocks, and depositary receipts for such securities. The adviser focuses on investing the fund's assets in the stocks of companies it believes to have above average earnings growth potential compared to other companies (growth companies). The fund may invest its assets in companies of any size and may invest its assets in foreign securities.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	1.89	U.S. Stocks	93.41	Total Inv Exp Net %	1.37	-
Non-U.S. Stocks	4.70			Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.37	
				Total Inv Exp Gross Per $1,000 Invested	$13.70	
				Redemption Fee	-	

Inv Manager or Sub-Advisor : Neuberger Berman Mgmt. Inc.

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Neuberger Berman Socially Responsive Tr Fund	26.06	28.29	15.15	9.67	8.41	7.27	10.79	0.95	7.70	6.07	3/1997
Benchmark: Russell 1000 Growth Index	20.87	19.27	16.94	12.07	7.82	-	15.26	3.12	7.52	-	-

Description: The investment seeks long-term growth of capital by investing primarily in securities of companies that meet the fund's financial criteria and social policy. The fund invests primarily in common stocks of mid- to large-capitalization companies that meet the fund's social policy. It seeks to reduce risk by investing across many different industries. The Portfolio Managers employ a research driven and valuation sensitive approach to stock selection, with a long term perspective. Although the fund invests primarily in domestic stocks, it may also invest in stocks of foreign companies.

Composition (% of Assets) as of 07/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	3.25	U.S. Stocks	86.65	Total Inv Exp Net %	1.06	-
Non-U.S. Stocks	10.10			Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.06	
				Total Inv Exp Gross Per $1,000 Invested	$10.60	
				Redemption Fee	-	

Inv Manager or Sub-Advisor : T. Rowe Price/Brown Advisory

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
LargeCap Growth I R2 Fund [B,21,23,F]	22.85	21.64	16.26	14.29	7.93	2.54	15.68	3.92	6.97	0.97	12/2000
Benchmark: Russell 1000 Growth Index	20.87	19.27	16.94	12.07	7.82	-	15.26	3.12	7.52	-	-

Description: The investment seeks long-term growth of capital. The fund normally invests at least 80% of its net assets, plus any borrowings for investment purposes, in equity securities of companies with large market capitalizations (those with market capitalization ranges similar to the companies in the Russell 1000(R) Growth Index) at the time of purchase. It invests in growth equity securities; growth orientation emphasizes buying equity securities of companies whose potential for growth of capital and earnings is expected to be above average. The fund also invests in securities of foreign companies.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	-1.96	U.S. Stocks	93.30	Total Inv Exp Net %	1.35	1/30 day period
Non-U.S. Stocks	6.65	Other	2.01	Contractual Cap Expiration Date	02/28/2014	
				Waiver Expiration Date	02/28/2014	
				Total Inv Exp Gross %	1.37	
				Total Inv Exp Gross Per $1,000 Invested	$13.70	
				Redemption Fee	-	

Asset Class: Small/Mid U.S. Equity

This asset class is generally composed of investment options that invest in stocks, or shares of ownership in small- to medium-sized U.S. companies. These investment options typically carry more risk than larger U.S. equity investment options but have the potential for higher returns. They may be an appropriate choice for long-term investors who are seeking the potential for growth. All investment options in this category have the potential to lose value.

Investment Category: Mid Cap Growth

Inv Manager or Sub-Advisor : American Century Inv. Mgmt.

Investment Option Name	Average Annual Total Return										
American Century Heritage A Fund [1]	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
	23.03	21.41	15.01	11.73	12.14	8.56	15.78	0.73	10.77	7.54	7/1997
Benchmark: Russell Midcap Growth Index	25.42	27.54	17.65	13.92	10.16	-	15.81	3.23	10.32	-	-

Description: The investment seeks long-term capital growth. The fund normally invests in stocks of medium-sized and smaller companies that the adviser believes will increase in value over time, using an investment strategy developed by American Century Investments. In implementing this strategy, the portfolio managers make their investment decisions based primarily on their analysis of individual companies, rather than on broad economic forecasts. Management of the fund is based on the belief that, over the long term, stock price movements follow growth in earnings and revenues.

Composition (% of Assets) as of 06/30/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	0.23	U.S. Stocks	89.73	Total Inv Exp Net %	1.26	-
Non-U.S. Stocks	9.62	Other	0.42	Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.26	
				Total Inv Exp Gross Per $1,000 Invested	$12.60	
				Redemption Fee	-	

Investment Category: Small Blend

Inv Manager or Sub-Advisor : Goldman Sachs Asset Mgt

Investment Option Name	Average Annual Total Return										
Goldman Sachs Small Cap Value C Fund [1,27]	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
	25.17	28.27	18.09	11.33	9.75	8.62	15.22	5.63	9.44	7.48	8/1997
Benchmark: Russell 2000 Index	27.69	30.06	18.29	11.15	9.64	-	16.35	3.56	9.72	-	-

Description: The investment seeks long-term capital appreciation. The fund normally invests at least 80% of its net assets plus any borrowings for investment purposes (measured at time of purchase) ("net assets") in a diversified portfolio of equity investments in small-cap issuers with public stock market capitalizations within the range of the market capitalization of companies constituting the Russell 2000(R) Value Index at the time of investment. Although it invests primarily in publicly traded U.S. securities, the fund may also invest in foreign securities, including securities of issuers in emerging countries and securities quoted in foreign currencies.

Composition (% of Assets) as of 06/30/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	2.37	U.S. Stocks	96.10	Total Inv Exp Net %	2.11	-
Non-U.S. Stocks	1.53	Other	0.01	Contractual Cap Expiration Date	12/29/2012	
				Waiver Expiration Date	12/29/2013	
				Total Inv Exp Gross %	2.19	
				Total Inv Exp Gross Per $1,000 Invested	$21.90	
				Redemption Fee	-	

Inv Manager or Sub-Advisor : Principal Global Investors

Investment Option Name	Average Annual Total Return										
SmallCap S&P 600 Index R2 Fund [B,1,2,6,F]	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
	27.67	30.23	19.50	11.32	10.10	8.96	15.30	4.17	9.45	7.34	12/2000
Benchmark: Standard & Poor's 600 Stock Index	28.66	31.51	20.68	12.40	11.14	-	16.33	5.14	10.45	-	-

Description: The investment seeks long-term growth of capital. The fund normally invests at least 80% of its net assets, plus any borrowings for investment purposes, in equity securities of companies that compose the Standard & Poor's ("S&P") SmallCap 600 Index at the time of purchase. The index is designed to represent U.S. equities with risk/return characteristics of the small cap universe. The fund invests in index futures and options and exchange-traded funds ("ETFs") on a daily basis to gain exposure to the index in an effort to minimize tracking error relative to the benchmark.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	0.12	U.S. Stocks	97.94	Total Inv Exp Net %	0.94	1/30 day period
Non-U.S. Stocks	1.93	Other	0.01	Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	0.94	
				Total Inv Exp Gross Per $1,000 Invested	$9.40	
				Redemption Fee	-	

Asset Class: Small/Mid U.S. Equity

This asset class is generally composed of investment options that invest in stocks, or shares of ownership in small- to medium-sized U.S. companies. These investment options typically carry more risk than larger U.S. equity investment options but have the potential for higher returns. They may be an appropriate choice for long-term investors who are seeking the potential for growth. All investment options in this category have the potential to lose value.

Investment Category: Small Growth

Inv Manager or Sub-Advisor : MFS Investment Management

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
MFS New Discovery R2 Fund [1,27,G]	30.50	30.83	18.01	17.39	9.83	9.07	20.60	7.25	9.20	6.70	10/2003
Benchmark: Russell 2000 Growth Index	32.47	33.07	19.96	13.17	9.85	-	14.59	3.49	9.80	-	-

Description: The investment seeks capital appreciation. The fund normally invests the assets primarily in equity securities. It focuses on investing the fund's assets in the stocks of companies the adviser believes to have above average earnings growth potential compared to other companies (growth companies). The fund may invest in companies of any size, while generally focusing on companies with small capitalizations. It may invest the fund's assets in foreign securities.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	0.46	U.S. Stocks	84.35	Total Inv Exp Net %	1.62	2/calendar quarter
Non-U.S. Stocks	15.19			Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	12/31/2013	
				Total Inv Exp Gross %	1.64	
				Total Inv Exp Gross Per $1,000 Invested	$16.40	
				Redemption Fee	-	

Investment Category: Real Estate

Inv Manager or Sub-Advisor : Principal Real Estate Inv

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Real Estate Securities R2 Fund [B,4,F]	3.55	5.93	11.43	6.41	9.94	11.04	16.33	5.95	12.00	11.44	12/2000
Benchmark: MSCI US REIT Index	3.17	5.75	12.35	5.87	9.47	-	17.77	5.58	11.58	-	-

Description: The investment seeks to generate a total return. The fund normally invests at least 80% of its net assets, plus any borrowings for investment purposes, in equity securities of companies principally engaged in the real estate industry. It invests in equity securities of small, medium, and large market capitalization companies. The fund concentrates its investments (invest more than 25% of its net assets) in securities in the real estate industry. It can invest a higher percentage of assets in securities of individual issuers than a diversified fund. The fund is non-diversified.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	-0.06	U.S. Stocks	99.80	Total Inv Exp Net %	1.58	1/30 day period
Other	0.26			Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.58	
				Total Inv Exp Gross Per $1,000 Invested	$15.80	
				Redemption Fee	-	

Asset Class: International Equity

This asset class is composed of investment options that invest in stocks, or shares of ownership in companies with their principal place of business or office outside the United States. These investment options often carry more risk than U.S. equity investment options but may have the potential for higher returns. They may be an appropriate choice for long-term investors who are seeking the potential for growth. All investment options in this category have the potential to lose value.

Investment Category: Diversified Emerging Markets

Inv Manager or Sub-Advisor : OppenheimerFunds, Inc.

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Oppenheimer Developing Markets C Fund [3,7,E]	4.02	8.51	3.40	10.64	16.10	13.55	20.04	2.76	19.10	13.94	11/1996
Benchmark: MSCI - Emerging Markets NDTR D Index	-4.35	0.98	-0.33	7.22	12.80	-	18.22	-0.92	16.52	-	-

Description: The investment seeks capital appreciation aggressively. The fund mainly invests in common stocks of issuers in developing and emerging markets throughout the world and at times it may invest up to 100% of its total assets in foreign securities. Under normal market conditions, it will invest at least 80% of its net assets, plus borrowings for investment purposes, in equity securities of issuers whose principal activities are in a developing market, i.e. are in a developing market or are economically tied to a developing market country. The fund will invest in at least three developing markets.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	4.60	U.S. Stocks	0.86	Total Inv Exp Net %	2.05	1/30 day period
Non-U.S. Stocks	92.21	Preferred	2.15	Contractual Cap Expiration Date	N/A	
Other	0.17			Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	2.05	
				Total Inv Exp Gross Per $1,000 Invested	$20.50	
				Redemption Fee	-	

Investment Category: Foreign Large Value

Inv Manager or Sub-Advisor : MFS Investment Management

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
MFS International Value R2 Fund [3,27,F]	21.15	24.11	13.56	10.07	11.13	10.10	15.49	0.75	10.41	7.04	10/2008
Benchmark: MSCI ACWI Ex USA Value Index	9.70	16.77	5.76	6.14	9.06	-	16.97	-2.94	10.42	-	-

Description: The investment seeks capital appreciation. The fund normally invests its assets primarily in foreign equity securities, including emerging market equity securities. Equity securities include common stocks, preferred stocks, securities convertible into stocks, and depositary receipts for those securities. It focuses on investing the fund's assets in the stocks of companies it believes are undervalued compared to their perceived worth (value companies).

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	5.15	Non-U.S. Stocks	94.52	Total Inv Exp Net %	1.39	2/calendar quarter
Other	0.34			Contractual Cap Expiration Date	N/A	
				Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.39	
				Total Inv Exp Gross Per $1,000 Invested	$13.90	
				Redemption Fee	-	

Investment Category: Foreign Large Blend

Inv Manager or Sub-Advisor : Capital Research and Mgmt Co

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
American Funds EuroPacific Growth R3 Fund [3,27,G]	11.40	17.52	6.41	6.84	9.23	7.82	18.89	-1.68	9.69	7.29	5/2002
Benchmark: MSCI ACWI Ex USA Index	10.04	16.48	5.95	6.26	8.77	-	16.83	-2.89	9.74	-	-

Description: The investment seeks long-term growth of capital. The fund invests primarily in common stocks of issuers in Europe and the Pacific Basin that the investment adviser believes have the potential for growth. Growth stocks are stocks that the investment adviser believes have the potential for above-average capital appreciation. It normally invests at least 80% of net assets in securities of issuers in Europe and the Pacific Basin. The fund may invest a portion of its assets in common stocks and other securities of companies in countries with developing economies and/or markets.

Composition (% of Assets) as of 06/30/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	5.04	U.S. Stocks	0.85	Total Inv Exp Net %	1.14	1/30 day period
Non-U.S. Stocks	91.83	Non-U.S. Bonds	0.10	Contractual Cap Expiration Date	N/A	
Preferred	0.19	U.S. Bonds	0.25	Waiver Expiration Date	N/A	
Other	1.74			Total Inv Exp Gross %	1.14	
				Total Inv Exp Gross Per $1,000 Invested	$11.40	
				Redemption Fee	-	

Asset Class: International Equity

This asset class is composed of investment options that invest in stocks, or shares of ownership in companies with their principal place of business or office outside the United States. These investment options often carry more risk than U.S. equity investment options but may have the potential for higher returns. They may be an appropriate choice for long-term investors who are seeking the potential for growth. All investment options in this category have the potential to lose value.

Investment Category: Foreign Large Blend

Inv Manager or Sub-Advisor : OppenheimerFunds, Inc.

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Oppenheimer International Diversified C Fund [E]	15.29	22.07	8.00	10.33	-	6.44	19.89	-0.52	-	5.05	9/2005
Benchmark: MSCI ACWI Ex USA Index	10.04	16.48	5.95	6.26	8.77	-	16.83	-2.89	9.74	4.27	-

Description: The investment seeks capital appreciation. The fund is a special type of mutual fund known as a "fund of funds" because it primarily invests in other mutual funds. Those funds are referred to as the "underlying funds." The underlying funds mainly invest in foreign equity or debt securities, which are securities of companies organized under the laws of a foreign country, or with a substantial portion of their operations, assets, revenue or profits from businesses, investments or sales outside the United States or securities traded primarily in foreign securities markets.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	5.04	U.S. Stocks	1.13	Total Inv Exp Net %	2.02	1/30 day period
Non-U.S. Stocks	66.79	Non-U.S. Bonds	6.44	Contractual Cap Expiration Date	N/A	
Preferred	0.33	U.S. Bonds	0.15	Waiver Expiration Date	N/A	
Other	20.12			Total Inv Exp Gross %	2.02	
				Total Inv Exp Gross Per $1,000 Invested	$20.20	
				Redemption Fee	-	

Inv Manager or Sub-Advisor : Principal Global Investors

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
Diversified International R2 Fund [B,3]	9.71	16.54	7.40	4.61	8.02	3.65	17.32	-4.71	8.38	3.08	12/2000
Benchmark: MSCI - EAFE Index NDTR D	16.14	23.77	8.47	6.35	8.01	-	17.32	-3.69	8.21	-	-

Description: The investment seeks long-term growth of capital. The fund invests primarily in equity securities of companies domiciled in any of the nations of the world, including those in countries with emerging markets. It has no limitation on the percentage of assets that are invested in any one country or denominated in any one currency, but the fund typically invests in at least 30 countries. The fund invests in equity securities of small, medium, and large market capitalization companies.

Composition (% of Assets) as of 08/31/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	0.36	U.S. Stocks	0.10	Total Inv Exp Net %	1.63	-
Non-U.S. Stocks	97.56	Preferred	0.41	Contractual Cap Expiration Date	N/A	
Other	1.57			Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.63	
				Total Inv Exp Gross Per $1,000 Invested	$16.30	
				Redemption Fee	-	

Investment Category: World Stock

Inv Manager or Sub-Advisor : Capital Research and Mgmt Co

Investment Option Name	Average Annual Total Return										
	(as of 09/30/2013 quarter end)						(as of 12/31/2012 year end)				
	YTD Ret	1-Year	3-Year	5-Year	10-Year	Since Incept	1-Year	5-Year	10-Year	Since Incept	Incept Date
American Funds New Perspective R3 Fund [3,27,G]	16.56	21.26	12.03	9.79	9.52	8.40	20.40	1.12	9.65	7.45	6/2002
Benchmark: MSCI All Country World Index	14.43	17.73	10.21	7.71	7.86	-	16.13	-1.16	8.11	-	-

Description: The investment seeks long-term growth of capital; future income is a secondary objective. The fund seeks to take advantage of investment opportunities generated by changes in international trade patterns and economic and political relationships by investing in common stocks of companies located around the world. In pursuing its primary investment objective, it invests primarily in common stocks that the investment adviser believes have the potential for growth. In pursuing its secondary objective, the fund invests in common stocks of companies with the potential to pay dividends in the future.

Composition (% of Assets) as of 06/30/2013				Fees & Expenses		# of Transfers Allowed/Time Period
Cash	3.73	U.S. Stocks	44.16	Total Inv Exp Net %	1.12	1/30 day period
Non-U.S. Stocks	50.14	Convertibles	0.01	Contractual Cap Expiration Date	N/A	
U.S. Bonds	0.24	Other	1.72	Waiver Expiration Date	N/A	
				Total Inv Exp Gross %	1.12	
				Total Inv Exp Gross Per $1,000 Invested	$11.20	
				Redemption Fee	-	

Asset Class: Short-Term Fixed Income

This asset class is generally composed of short-term, fixed-income investment options that are largely liquid and are designed to not lose much value. These investment options may include stable value, money market, short-term bond, and guaranteed interest accounts. They are considered to be among the least risky forms of investment options. However, they typically have a lower rate of return than equities or longer-term fixed income investment options over long periods of time. Depending on the objectives of the investment options, they may experience price fluctuations and may lose value.

Investment Option Name: Fixed Income Option non 401(a) [15,O]

Description:

This group annuity contract provides an interest rate guaranteed for a set period of time by the Principal Life Insurance Company. It is supported by the multi-billion dollar general account of Principal Life, which invests in private market bonds, commercial mortgages and mortgage-backed securities. However, money you allocate to this investment does not entitle you to participate in the investment experience or performance of the General Account. The rate credited to participant accounts is a composite weighted average of the underlying guarantees provided in the contract. Each underlying guarantee is in effect for its full maturity. The maturity of each guarantee varies from 2 to 10 years at the establishment of the guarantee. Each guarantee matures at a different time. The term shown in the Term column represents the average maturity of the underlying guarantees. The composite rate (crediting rate) is reset every 6 months based on the changing weighted average of the underlying guarantees and applies prospectively (moving forward). The crediting rate is subject to a minimum guaranteed rate that is determined through a formula determined according to state insurance regulations which utilizes Treasury rates and is outlined in the group annuity contract. The minimum will range between 1% and 3% depending on prevailing market conditions. The contract provides for benefit payments at book value (i.e., no market value adjustments or surrender charge adjustments) for withdrawals due to retirement, termination of employment, disability, loans or death, including participant-directed transfers. If the retirement program provides you access to the Fixed Income Option and Competing Plan Investment Options, then participant transfers, either directly or indirectly, to Competing Plan Investment Options will generally be subject to an Equity Wash. An Equity Wash requires that transfers must be directed to a non-competing investment option under the plan for 90 days before such transferred amounts may be directed to any other Competing Plan Investment Option. Competing Plan Investment Options include other guaranteed investment options or fixed income, money market or bond funds that ever had an average duration of three years or less. A plan fiduciary-directed surrender or transfer will be subject to 12 months' advance notice or a 5% surrender charge. For more information, call the automated phone system at 1-800-547-7754 or see the applicable fact sheet on principal.com for a more complete description of this investment option and the crediting rate.

Crediting Rate (credited to participants)	Crediting Period	Term (underlying guarantees)
3.00	07/01/2013-12/31/2013	10.00 years

Investors should carefully consider a mutual fund's investment objectives, risks, charges, and expenses prior to investing. A prospectus, or summary prospectus if available, containing this and other information can be obtained by contacting a financial professional, visiting principal.com, or calling 1-800-547-7754. Read the prospectus carefully before investing.

The value of the investment options will fluctuate so that when redeemed, shares or units may be worth more or less than the original cost.

An investment's past performance is not necessarily an indication of how the investment will perform in the future.

Since inception benchmark returns are displayed on the Investment Option Summary for investments that are less than 10 years old. The benchmark reflecting the Since Inception return is the Morningstar Category index. For some Sub-Advised investment options, two benchmarks will be displayed on the Investment Option Summary and the secondary index reflecting the Since Inception Return is the Morningstar Category index.

B Principal Funds mutual funds are part of the Principal Funds, Inc. series. Principal Funds, Inc. is distributed by Principal Funds Distributor, Inc. Certain investment options may not be available in all states or U.S. commonwealths.

Returns shown for periods of less than one year are not annualized. All returns displayed here are after net Total Investment Expense of the investment option.

For a Mutual Fund investment option, Total Investment Expense gross equals the sum of (a) the total fund operating expenses plus (b) if the mutual fund invests in other mutual funds, the weighted-average management fee of those other mutual funds, as listed in the most recent prospectus. The actual Total Investment Expense may change if the mutual fund investment option's allocation of assets to other mutual funds changes.

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Insurance products and plan administrative services are provided by Principal Life Insurance Company. Principal mutual funds are part of the Principal Funds, Inc. series. Principal Funds, Inc. is distributed by Principal Funds Distributor, Inc. Securities are offered through Princor Financial Services Corporation, 1-800-547-7754, member SIPC and/or independent broker/dealers. Securities sold by a Princor® Registered Representative are offered through Princor. Principal Funds Distributor, Princor and Principal Life are members of the Principal Financial Group® (The Principal®), Des Moines, IA 50392.

As allowed by their prospectuses several mutual fund companies have decided to impose redemption fees and/or transfer restrictions on certain plan and/or participant transactions. One or more of the investment options in your employer's retirement plan may be impacted. For more information, visit The Principal Web site at principal.com.

Any operating expenses of a mutual fund or underlying mutual fund that are part of net Total Investment Expense are obtained from the mutual fund's most recent prospectus. The operating expenses shown as part of net Total Investment Expense include voluntary expense limits and fee credit.

This report includes investment options that contain information from a variety of sources. Morningstar generally provides holdings information, operations data, and rankings or statistics proprietary to Morningstar. Morningstar is also the source of information on certain mutual funds.

These results are for the investment options available through your Plan Sponsor's retirement plan, and may be different from the results for other retirement plans. Past performance is not a guarantee of future results. Principal values and investment returns will fluctuate so that values upon redemption may be worth more or less than original costs. Total returns illustrated are net of investment expenses and management fees.

Since inception returns are only shown for funds/accounts in existence for less than 10 years.

1 Small-cap and mid-cap investment options are subject to more fluctuation in value and may have additional risks than other investment options with stocks of larger, more stable companies.

2 Each index based investment option is invested in the stocks or bonds of the index it tracks. Performance of indexes reflects the unmanaged results for the market segment the selected stocks or bonds represent. There is no assurance an index based investment option will match the performance of the index tracked.

3 International and global investment options are subject to additional risk due to fluctuating exchange rates, foreign accounting and financial policies, and other economic and political environments.

4 Real Estate investment options are subject to investment and liquidity risk and other risks inherent in real estate such as those associated with general and local economic conditions. Property values can decline due to environmental and other reasons. In addition, fluctuation in interest rates can negatively impact the performance of real estate investment options.

5 S&P 500 is a trademark of The McGraw-Hill Companies, Inc., and has been licensed for use by Principal Life Insurance Company and Principal Management Corporation. The product is not sponsored, endorsed, sold or promoted by Standard & Poor's and Standard & Poor's makes no representation regarding the advisability of investing in the product.

6 S&P SmallCap 600 is a trademark of The McGraw-Hill Companies, Inc. and has been licensed for use by Principal Life Insurance Company and Principal Management Corporation. The product is not sponsored, endorsed, sold or promoted by Standard & Poor's and Standard & Poor's makes no representation regarding the advisability of investing in the product.

7 This investment option is closed to new investors.

8 Effective September 1, 2004, LA Capital was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

9 These calculated returns reflect the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. For time periods prior to inception date of the fund, predecessor performance is reflected. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.

11 From March 1, 2006, to December 31, 2007, Bank of New York served as a sub-advisor for managing the cash portion of this investment option.

12 Equity investment options involve greater risk, including heightened volatility, than fixed-income investment options. Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise.

13 Asset allocation does not guarantee a profit or protect against a loss. Investing in real estate, small-cap, international, and high-yield investment options involves additional risks.

14 Fixed-income investment options are subject to interest rate risk, and their value will decline as interest rates rise. Neither the principal of bond investment options nor their yields are guaranteed by the U.S. government.

15 The Principal Fixed Income Option is an insurance product that provides a guaranteed crediting rate for specified periods of time. As an insurance product, this option does not have a fixed investment management fee or expense ratio; those are concepts unique to investment products. Rather, the product provides a guarantee that is backed by the General Account of Principal Life Insurance Company. The calculation of each guarantee includes some amount of expected costs and expenses. While we target a certain level of expense, there are many factors that can change our actual cost of providing the guarantee. This can include factors such as changes in the interest rate environment. While it is impossible to know the actual expense due to these factors, Principal Life Insurance Company, as a provider of administrative services to the plan, assumes that it will receive 65 basis points (from the expense built into the Principal Fixed Income Option) as part of the overall fee arrangement a plan pays for services from Principal Life.

16 Fixed-income and asset allocation investment options that invest in mortgage securities are subject to increased risk due to real estate exposure.

17 Instances of high double-digit returns were achieved primarily during favorable market conditions and may not be sustainable over time.

18 Effective July 15, 2008, Westwood Management Corp. was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

19 Effective January 6, 2009, this portfolio is sub-advised by LA Capital Management. Prior to January 6, 2009, the portfolio was sub-advised by Ark Asset Management and LA Capital Management. The portfolio has had various sub-advisors since its inception. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

20 Effective May 1, 2009, LA Capital was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

21 The manager of the Fund, Principal Management Corporation, invests between 10% and 40% of the Fund's assets in common stocks in an attempt to match or exceed the performance of the Fund's benchmark index for performance.

22 Effective June 26, 2009, this portfolio is sub-advised by Emerald Advisors and Essex. Prior to June 26, 2009, the portfolio was sub-advised by UBS Global Asset Management, Emerald Advisors and Essex. The portfolio has had various sub-advisors since its inception. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

23 Effective July 14, 2009, Brown Advisory was added as an additional sub-advisor. Performance results displayed reflect all sub-advisors managing this portfolio during the time periods displayed.

24 Asset allocation does not guarantee a profit or protect against a loss. Investing in real estate, small-cap, international, and high-yield investment options involves additional risks. Additionally there is no guarantee this investment option will provide adequate income at or through retirement.

25 The Investment Advisor will display "Multiple Sub-Advisors" for certain target-date, target-risk and specialty investment options where the assets are directed by the Investment Manager to multiple underlying investment options. These underlying investment options may use multiple sub-advisors who are responsible for the day-to-day management responsibilities.

26 This investment option has experienced a name change.

27 For Mutual Fund Network investment options, returns for all time periods, except the Since Inception time frame, may include the historical performance of the oldest share class of the fund, adjusted to reflect a portion of the fees and expenses of this share class. Since Inception returns display the actual return of this share class and do not reflect the adjusted returns of the oldest share class. Please see the fund's prospectus for more information on specific expenses, and the fund's most recent shareholder report for actual date of first sale. Expenses are deducted from income earned by the fund. As a result, dividends and investment results will differ for each share class.

28 The risks associated with derivative investments include that the underlying security, interest rate, market index, or other financial asset will not move in the direction the Investment Adviser and/or Sub-Advisor anticipated, the possibility that there may be no liquid secondary market, the risk that adverse price movements in an instrument can result in a loss substantially greater than a fund's initial investment, the possibility that the counterparty may fail to perform its obligations; and the inability to close out certain hedged positions to avoid adverse tax consequences.

29 This Principal LifeTime Fund indirectly bears its pro rata share of the management fees incurred by the underlying Principal Funds in which this fund invests. Based on the asset allocation of the Principal LifeTime Funds outlined in the prospectus dated March 1, 2013, the weighted average operating expenses of the underlying funds are: Principal LifeTime Strategic Income, 0.59%; Principal LifeTime 2010, 0.63%; Principal LifeTime 2015, 0.66%; Principal LifeTime 2020, 0.68%; Principal LifeTime 2025, 0.70%; Principal LifeTime 2030, 0.72%; Principal LifeTime 2035, 0.73%; Principal LifeTime 2040, 0.74%; Principal LifeTime 2045, 0.74%; Principal LifeTime 2050, 0.75%; Principal LifeTime 2055, 0.75%; Principal LifeTime 2060, 0.75%. While the operating expenses of the underlying mutual funds are not part of the Principal LifeTime Fund's operating expenses they are included in the Total Investment Expense. Performance results shown for the Principal LifeTime Fund reflect the application of these expenses.

31 This investment option has closed to new investors, effective June 14, 2013. Retirement plans in transition will have until August 15, 2013 to direct assets to the investment option. Existing investors and participants in retirement plans using the investment option may continue to make purchases and elect to use the investment option.

E Investment option limits the number of transfers allowed into the investment option. All participant investment transfers and non-scheduled rebalancing activity are counted toward the number of transfers allowed. When the number of allowed transfers into the investment option is met, no additional investment transfers into the investment option will be allowed until the holding period elapses. Contributions into the investment option are not impacted.

F Investment option limits transfer activity. Once the number of allowed transfers is met, participants are not allowed to transfer back into an investment option which they have transferred out of until the holding period elapses. All participant investment transfers and non-scheduled rebalancing activity are counted toward the number of transfers allowed. Contributions into the investment option are not impacted. Participants may still transfer out to different investment options or to money market or Guaranteed options.

G Investment option limits transfer activity. Once the number of allowed transfers is met, participants are not allowed to transfer amounts valued at the threshold amount or more back into the investment option which they have transferred out of until the holding period elapses. All participant investment transfers and non-scheduled rebalancing activity valued at the threshold amount or more are counted toward the number of transfers allowed. Contributions into the investment option are not impacted. Participant transfers made for less than the threshold amount do not count and are not limited.

O Principal Fixed Income Option is either or both 1) Group Annuity Contract - Custodial Guaranteed Fund Contract 2) Group Annuity Contract - Custodial Guaranteed Contract, as applicable to your situation. Both are available through Principal Life Insurance Company, a member of the Principal Financial Group®, Des Moines, Iowa, 50392.

-- Principal Life works with each fund family to implement each funds' policy and establish frequent trading guidelines that best mirror Prospectus language. Mutual Fund Network investment managers have the ability to monitor for excessive trading and may enforce frequent purchase limitations in addition to or in lieu of policy monitored by Principal Life Insurance Company. Please refer to the Prospectus for verification.

Benchmark Descriptions

Principal LifeTime 2020 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2020 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2013 are 45.95% Russell 3000 Index, 16.80% MSCI EAFE Index, and 37.25% Barclays Aggregate Index.

Principal LifeTime 2030 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2030 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2013 are 55.80% Russell 3000 Index, 20.45% MSCI EAFE Index, and 23.75% Barclays Aggregate Index.

Principal LifeTime 2040 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2040 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2013 are 62.45% Russell 3000 Index, 24.35% MSCI EAFE Index, and 13.20% Barclays Aggregate Index.

MSCI - Emerging Markets NDTR D Index measures equity market performance in the global emerging markets. It consists of 26 emerging market countries in Europe, Latin America and the Pacific Basin.

MSCI US REIT Index is a capitalization-weighted benchmark index of most actively traded Real Estate Investment Trusts (REITs), designed to measure real estate performance.

Russell Midcap Growth Index is a market-weighted total return index that measures the performance of companies within the Russell Midcap Index having higher price-to-book ratios and higher forecasted growth values.

Russell 2000 Index consists of the smallest 2000 companies in the Russell 3000 Index, representing approximately 10% of the Russell 3000 total market capitalization.

MSCI ACWI Ex USA Index is a free float-adjusted market capitalization index that is designed to measure the combined equity market performance of developed and emerging market countries excluding the US.

Standard & Poor's 500 Index is a market capitalization-weighted index of 500 widely held stocks often used as a proxy for the stock market.

Standard & Poor's 600 Stock Index is a small cap index that consists of 600 domestic stocks chosen for market size, liquidity, and industry group representation.

Barclays Aggregate Bond Index represents securities that are domestic, taxable, and dollar denominated. The index covers the U.S. investment grade fixed rate bond market, with index components for government and corporate securities, mortgage pass-through securities, and asset-backed securities. These major sectors are subdivided into more specific indices that are calculated and reported on a regular basis.

Principal LifeTime 2050 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2050 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2013 are 65.85% Russell 3000 Index, 27.10% MSCI EAFE Index, and 7.05% Barclays Aggregate Index.

Morningstar Lifetime Moderate Income Index represents a portfolio of global equities, bonds and traditional inflation hedges such as commodities and TIPS. This portfolio is held in proportions appropriate for a U.S. investor who is at least ten years into retirement.

Principal LifeTime 2060 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2055 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2013 are 66.10% Russell 3000 Index, 27.40% MSCI EAFE Index, and 6.50% Barclays Aggregate Index.

Morningstar Lifetime Moderate 2010 Index represents a portfolio of global equities, bonds and traditional inflation hedges such as commodities and TIPS. This portfolio is held in proportions appropriate for a U.S. investor who is near retirement.

Principal LifeTime Strategic Income Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime Strategic Income portfolio. The weightings as of March 31, 2013 are 19.45% Russell 3000 Index, 5.55% MSCI EAFE Index, and 75.00% Barclays Aggregate Index.

MSCI All Country World Index is a free float-adjusted market capitalization weighted index that is designed to measure the equity market performance of developed and emerging markets.

MSCI - EAFE Index NDTR D is listed for foreign stock funds (EAFE refers to Europe, Australia, and Far East). Widely accepted as a benchmark for international stock performance, the EAFE Index is an aggregate of 21 individual country indexes.

Morningstar Lifetime Moderate 2020 Index represents a portfolio of global equities, bonds and traditional inflation hedges such as commodities and TIPS. This portfolio is held in proportions appropriate for a U.S. investor who is about ten years away from retirement.

Morningstar Lifetime Moderate 2030 Index represents a portfolio of global equities, bonds and traditional inflation hedges such as commodities and TIPS. This portfolio is held in proportions appropriate for a U.S. investor who is about 20 years away from retirement.

Russell 1000 Growth Index is a market-capitalization weighted index of those firms in the Russell 1000 with higher price-to-book ratios and higher forecasted growth values.

Russell 1000 Value Index is a market-capitalization weighted index of those firms in the Russell 1000 with lower price-to-book ratios and lower forecasted growth values.

Morningstar Lifetime Moderate 2040 Index represents a portfolio of global equities, bonds and traditional inflation hedges such as commodities and TIPS. This portfolio is held in proportions appropriate for a U.S. investor who is about 30 years away from retirement.

Russell 2000 Growth Index is a market-weighted total return index that measures the performance of companies within the Russell 2000 Index having higher price-to-book ratio and higher forecasted growth values.

Morningstar Lifetime Moderate 2050 Index represents a portfolio of global equities, bonds and traditional inflation hedges such as commodities and TIPS. This portfolio is held in proportions appropriate for a U.S. investor who is about 40 years away from retirement.

Principal LifeTime 2010 Blended Index is composed of underlying indexes that represent the target asset allocation weights of the Principal LifeTime 2010 portfolio. The index weightings adjust over time as the portfolio changes to become gradually more conservative. The weightings as of March 31, 2013 are 31.35% Russell 3000 Index, 11.15% MSCI EAFE Index, and 57.50% Barclays Aggregate Index.